

Model Notes

Endogenous Education Choice in Segmented Search Markets

(Variant: skill-biased P_S , narrow deep set, discrete cross-market search)

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Scope. This document contains the full mathematical description of the model: primitives, value functions, equilibrium conditions, solution algorithms, and transition dynamics. It serves as the companion reference for the paper and the codebase.

Changes relative to the previous (May 22) draft. This variant differs from the previous draft in one substantive respect:

1. **Cross-market search by skilled unemployed (*discrete choice*).** Skilled-unemployed workers now elect, type by type, whether to direct their search effort to the skilled market or to the unskilled market. The choice is captured by a binary policy $d(x) \in \{0, 1\}$, with $d(x) = 1$ meaning “search the unskilled market.” Upon matching with an unskilled firm, the worker is treated as untrained for all subsequent purposes — training is shed at the moment of acceptance, the firm sees the standard $J_U(x, 1)$, and the worker re-enters the untrained pool upon future separation. This adds one new endogenous policy object on the type grid.

The mechanism leaves the surplus-only solver reduction intact: the surplus HJBs, wage formulas, and global Anderson state (U_S, m_S) are unchanged in form. In particular, free entry on the unskilled side is evaluated against the inflated seeker pool $\tilde{u}_U(x) = u_U(x) + d(x) u_S(x)$, the skilled-segment unemployment balance acquires an extra outflow term $d(x) f_U u_S(x)$, and the trained-segment mass identity becomes $m_S(x) = \phi t(x) / (\nu + d(x) f_U)$ in stationarity. No new structural parameter is introduced.

All other primitives, value functions, equilibrium conditions, algorithms, and transition-dynamics objects are unchanged relative to the previous draft: skill-biased P_S , narrowed deep parameter set, ϕ pre-estimated from data, and no (z) argument on parameters (the multi-regime structure is an estimation device, not part of the model description).

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1 Global environment

Time is continuous. All agents discount at rate $r > 0$.

1.1 Sectoral productivity shifters

There are two sector-specific productivity shifters $P_U > 0$ and $P_S(\cdot)$. Whereas P_U is a constant scalar, the skilled productivity shifter is an *increasing* function of worker type x , parameterised as the density of a one-parameter Beta distribution:

$$P_S(x) = \gamma_{P_S} x^{\gamma_{P_S}-1}, \quad x \in [0, 1], \quad \gamma_{P_S} \geq 1, \quad (1)$$

i.e. $P_S(\cdot) \sim \text{Beta}(\gamma_{P_S}, 1)$. The single parameter γ_{P_S} replaces the old constant P_S . Setting $\gamma_{P_S} = 1$ recovers a flat $P_S(x) = 1$ (skill-neutral); $\gamma_{P_S} > 1$ generates a strict skill premium.

1.2 Demographic turnover

Workers exit the economy at Poisson rate $\nu > 0$ and are replaced one-for-one by newborn untrained workers with density $\ell(x)$. This delivers a stationary population composition.

1.3 Stationarity

The model admits a stationary equilibrium (steady state) in which the cross-sectional distribution of workers across states is time-invariant. The transition-dynamics section (Section 11) studies the path generated by an unexpected, permanent change in some parameters at a date T .

2 Parameter classification

Parameters fall into four groups, following the multi-regime estimation strategy described in the paper plan. No new parameter is added relative to the previous draft. The classification identifies which parameters are externally set, which are estimated once on the baseline window and held fixed, and which are re-estimated within each window. All parameters appear without a regime argument in the equations below.

2.1 Calibrated / fixed

Symbol	Name	Source / calibration
r	Discount rate	4% annual real rate (risk-free rate)

The discount rate is set externally and held fixed throughout all estimation stages.

2.2 Pre-estimated from data

Symbol	Name	Source / method
ϕ	Training completion rate	NSC/IPEDS Universe enrollment + NCES median time-to-degree, enrollment-weighted across 4-year and 2-year programmes
ν	Demographic turnover rate	CPS Basic Monthly LF→NILF exit hazard (ages 16–64) over the pre-FC baseline window

Both rates are pre-estimated from external micro-data outside the SMM objective. The training completion rate is computed as

$$\hat{\phi} = \frac{E_{4\text{yr}}/d_{4\text{yr}} + E_{2\text{yr}}/d_{2\text{yr}}}{E_{4\text{yr}} + E_{2\text{yr}}},$$

where E_k is the average IPEDS Universe enrollment in k -year institutions over the sample and d_k is the corresponding NCES median time-to-degree (49 months for 4-year bachelor's; 37 months for 2-year associate's). The turnover rate $\hat{\nu}$ equals the average monthly LF→NILF exit rate for the working-age population (16–64) over the pre-FC baseline window.

2.3 Deep structural parameters

Symbol	Name	Interpretation
a_ℓ, b_ℓ	Type distribution (Beta)	Worker heterogeneity
b_U	Unskilled UI flow value	Institutional UI policy
b_T	Training flow value	Training stipend / support
b_S	Skilled UI flow value	Institutional UI policy

These parameters govern the *fundamentals* of the labour market that we assume are invariant across crisis episodes.

2.4 Regime-specific parameters (re-estimated within each window)

Symbol	Name	Interpretation
c	Training cost coefficient	Cost of education
P_U, γ_{P_S}	Productivity shifters	Aggregate state
k_U, k_S	Vacancy costs	Hiring conditions
λ_U, λ_S	Shock arrival rates	Match-destruction risk
α_U	Unskilled damage shape	Damage-shock distribution
a_Γ, b_Γ	Skilled offer shape	Offer / quality distribution
ξ_S	Exogenous skilled separation	Layoff rate
η_U, η_S	Matching elasticities	Matching-function curvature
μ_U, μ_S	Matching efficiencies	Matching-function level
β_U, β_S	Bargaining weights	Wage-setting institutions
σ_S	OJS flow cost	On-the-job search cost

These parameters capture both the *aggregate state* of the economy, the *matching and wage-setting technology*, and the *training technology*.

3 Workers, firms, and types

3.1 Workers

Each worker has an innate type $x \in \mathcal{X} = [0, 1]$, fixed over time. Types are distributed according to CDF L with density ℓ ($x \sim \text{Beta}(a_\ell, b_\ell)$).

Market access via training (persistent eligibility). Workers can participate in either the *unskilled* market U (untrained status) or the *skilled* market S (trained status). Training changes *market access only*; it does not change innate type x .

Training decision at unskilled unemployment. Training can be initiated *only* by untrained workers who are in unskilled unemployment. The optimal policy is characterised by a cutoff $\bar{x} \in [0, 1]$: upon entering unskilled unemployment, types $x > \bar{x}$ initiate training, while types $x \leq \bar{x}$ remain in unskilled search.

Cross-market search by skilled unemployed (NEW). A trained worker who is in skilled unemployment chooses, as a function of x , which market to search in:

$$d(x) \in \{0, 1\}, \quad d(x) = 1 \iff \text{the worker searches the unskilled market.}$$

Searching is exclusive: at each instant the worker is contacted by firms in one market only, at rate $\kappa_S = \theta_S q_S(\theta_S)$ if $d(x) = 0$, and at rate $f_U = \theta_U q_U(\theta_U)$ if $d(x) = 1$. We characterise the optimal $d(x)$ as a comparison of two candidate unemployment values in Section 8. Skilled-employed workers do not search the unskilled market.

Loss of training upon cross-market matching (NEW). A skilled-unemployed worker of type x who matches in the unskilled market is treated as *untrained* from the moment of acceptance on: the bargained wage uses $U_U(x)$ as the worker's outside option, the firm receives the standard $J_U(x, 1)$, and if the worker later separates from this match, she re-enters untrained unemployment $u_U(x)$. In particular, she may re-initiate training (paying $c(x)$) at a future date if her type warrants it. We refer to this as the “training is obsolete” interpretation of the cross-market move.

3.2 Firms

There are two labour markets. Both markets have homogeneous firms.

4 Training technology

Eligibility. Only untrained workers in unskilled unemployment may initiate training.

Cost. Initiating training requires a one-time cost $c(x)$ with $c'(x) < 0$. In applications,

$$c(x) = (1 - x) e^{(c-x)}.$$

Higher-ability workers face lower training costs. The parameter c enters through exponentiation so that the optimiser searches over $c \in \mathbb{R}$ while the cost coefficient $e^c > 0$ is guaranteed positive.

Completion. Training completes at Poisson rate $\phi > 0$. Upon completion, the worker becomes trained and enters skilled unemployment.

Flow payoffs. Let b_U , b_T , and b_S denote flow payoffs while unskilled unemployed, in training, and skilled unemployed, respectively. A skilled-unemployed worker receives the flow b_S regardless of the search-market choice $d(x)$.

Demographic turnover (stationarity device). Workers exit the economy at Poisson rate $\nu > 0$ and are replaced one-for-one by newborn untrained workers with density $\ell(x)$.

5 Production technologies

Unskilled production. An unskilled match between worker type x and a homogeneous firm with match-specific efficiency $p \in (0, 1]$ produces

$$\pi_U(x, p) = P_U x p.$$

Skilled production. A skilled match between worker type x and a homogeneous firm with idiosyncratic quality $p \in (0, 1]$ produces

$$\pi_S(x, p) = x P_S(x) p = \gamma_{P_S} x^{\gamma_{P_S}} p, \quad (2)$$

$P_S(x) = \gamma_{P_S} x^{(\gamma_{P_S}-1)}$, strictly increasing in x when $\gamma_{P_S} > 1$.

6 Unskilled labour market

6.1 Matching

Let $\mathcal{U}_U$ and $\mathcal{V}_U$ denote the masses of unskilled unemployed and unskilled vacancies. In this variant the relevant *seeker* mass for matching is the augmented pool

$$\tilde{\mathcal{U}}_U \equiv \int_0^1 (u_U(x) + d(x) u_S(x)) dx = \mathcal{U}_U + \int_0^1 d(x) u_S(x) dx,$$

which adds the skilled-unemployed workers who have chosen to search unskilled. Market tightness on the U-side is

$$\theta_U = \frac{\mathcal{V}_U}{\tilde{\mathcal{U}}_U}.$$

Matching follows a Cobb–Douglas function with parameters $\mu_U > 0$ and $\eta_U \in (0, 1)$:

$$M_U(\tilde{\mathcal{U}}_U, \mathcal{V}_U) = \mu_U \tilde{\mathcal{U}}_U^{\eta_U} \mathcal{V}_U^{1-\eta_U},$$

implying vacancy filling and job-finding rates

$$q_U(\theta_U) = \mu_U \theta_U^{-\eta_U}, \quad f_U \equiv \theta_U q_U(\theta_U) = \mu_U \theta_U^{1-\eta_U}.$$

A contacted worker is of type x with probability $(u_U(x) + d(x)u_S(x))/\tilde{\mathcal{U}}_U$.

6.2 Match productivity and shocks

New matches are created at frontier efficiency $p_0 = 1$. Idiosyncratic damage shocks arrive at Poisson rate $\lambda_U > 0$. Upon a shock, post-shock efficiency is

$$p' = e^{-d}, \quad d \sim \text{Exp}(\alpha_U),$$

equivalently

$$p' \sim \text{Beta}(\alpha_U, 1), \quad G(p) = p^{\alpha_U}, \quad p \in [0, 1].$$

A match is endogenously destroyed whenever $p' < p^*(x)$ for a reservation threshold $p^*(x) \in (0, 1)$.

6.3 Value functions and training policy

Let:

- $U_U(x)$ be the value of untrained unskilled unemployment,
- $U_U^{\text{search}}(x)$ the value of unskilled search,
- $T(x)$ the value of training,
- $E_U(x, p)$ the worker value of unskilled employment at efficiency p ,
- $J_U(x, p)$ the firm value of a filled unskilled job,
- V_U the value of an unskilled vacancy.

Household values and training policy. An untrained unemployed worker chooses between unskilled search and initiating training:

$$U_U(x) = \max\{U_U^{\text{search}}(x), U_U^{\text{train}}(x)\}, \quad U_U^{\text{train}}(x) := -c(x) + T(x).$$

Training completes at Poisson rate ϕ and leads to skilled unemployment. The training value satisfies

$$(r + \phi + \nu) T(x) = b_T + \phi U_S(x). \quad (3)$$

Unskilled search yields flow payoff b_U and contacts vacancies at rate $f_U = \theta_U q_U(\theta_U)$:

$$(r + \nu) U_U^{\text{search}}(x) = b_U + f_U (E_U(x, 1) - U_U^{\text{search}}(x)). \quad (4)$$

Define the net training gain

$$\Delta_T(x) := -c(x) + T(x) - U_U^{\text{search}}(x).$$

Under monotone incentives, there exists a cutoff $\bar{x} \in [0, 1]$ such that

$$\tau(x) = \mathbf{1}\{x > \bar{x}\}, \quad U_U^{\text{search}}(\bar{x}) = -c(\bar{x}) + T(\bar{x}).$$

6.4 Match values, bargaining, and endogenous separation

A new unskilled match starts at frontier efficiency $p_0 = 1$. Idiosyncratic damage shocks arrive at rate λ_U and redraw efficiency p' from G on $[0, 1]$. For $p \in (0, 1]$, worker and firm values satisfy

$$(r + \nu + \lambda_U) E_U(x, p) = w_U(x, p) + \lambda_U \left[U_U(x) G(p^*(x)) + \int_{p^*(x)}^1 E_U(x, p') dG(p') \right], \quad (5)$$

$$(r + \nu + \lambda_U) J_U(x, p) = P_U x p - w_U(x, p) + \lambda_U \int_{p^*(x)}^1 J_U(x, p') dG(p'). \quad (6)$$

Wages are determined by Nash bargaining with worker weight $\beta_U \in (0, 1)$:

$$\beta_U J_U(x, p) = (1 - \beta_U)(E_U(x, p) - U_U(x)). \quad (7)$$

Bargaining for skilled-origin matches. A skilled-unemployed worker who matches in the U-market is treated as untrained at the moment of acceptance: her outside option for the Nash split is $U_U(x)$, not $U_S(x)$. Hence the firm value of such a match is the same $J_U(x, 1) = (1 - \beta_U) S_U(x, 1)$ that applies to a fresh untrained match. This is the single bookkeeping assumption that lets the unskilled-side free entry use a *single* firm-value surface.

Endogenous separation is characterised by a reservation threshold $p^*(x) \in (0, 1)$ satisfying

$$J_U(x, p^*(x)) = 0, \quad J_U(x, p) \geq 0 \iff p \geq p^*(x). \quad (8)$$

6.5 Pointwise update for unskilled search values

Rearranging (4) gives

$$(r + \nu + f_U) U_U^{\text{search}}(x) = b_U + f_U E_U(x, 1). \quad (9)$$

Using Nash bargaining at entry efficiency $p_0 = 1$,

$$E_U(x, 1) = U_U(x) + \frac{\beta_U}{1 - \beta_U} J_U(x, 1),$$

we obtain the pointwise update

$$U_U^{\text{search}}(x) = \frac{b_U + f_U \left(U_U(x) + \frac{\beta_U}{1-\beta_U} J_U(x, 1) \right)}{r + \nu + f_U}. \quad (10)$$

Under the cutoff policy $\tau(x) = \mathbf{1}\{x > \bar{x}\}$,

$$U_U(x) = \begin{cases} U_U^{\text{search}}(x), & x \leq \bar{x}, \\ U_U^{\text{train}}(x), & x > \bar{x}, \end{cases}$$

so (10) becomes a simple piecewise update. On the search region $x \leq \bar{x}$ it reduces to

$$(r + \nu) U_U^{\text{search}}(x) = b_U + \frac{\beta_U}{1 - \beta_U} f_U J_U(x, 1).$$

6.6 Unskilled match surplus (wage-free equation)

Define the total match surplus as worker net gain plus firm value:

$$S_U(x, p) \equiv (E_U(x, p) - U_U(x)) + J_U(x, p).$$

Equivalently, $E_U(x, p) + J_U(x, p) = S_U(x, p) + U_U(x)$. Adding the worker and firm HJBs (5)–(6) and substituting $E_U + J_U = S_U + U_U$:

$$(r + \nu + \lambda_U) S_U(x, p) = P_U x p - (r + \nu) U_U(x) + \lambda_U \int_{p^*(x)}^1 S_U(x, p') dG(p'). \quad (11)$$

6.7 Wage schedule (unskilled)

Given the surplus split $J_U = (1 - \beta_U) S_U$ and $E_U - U_U = \beta_U S_U$, wages are recovered from the firm HJB (6). Multiplying the surplus equation (11) by $(1 - \beta_U)$ and comparing with the firm HJB gives

$$w_U(x, p) = \beta_U P_U x p + (1 - \beta_U)(r + \nu) U_U(x). \quad (12)$$

The wage is linear in match quality p : the worker captures share β_U of flow output $P_U x p$, plus a flow option value $(1 - \beta_U)(r + \nu) U_U(x)$ reflecting the firm's outside value when the worker exits (at rate ν) or the match is destroyed. Skilled-detoured workers and original untrained workers are paid the same wage at the same (x, p) , by the bargaining assumption above.

6.8 Vacancies, free entry, and market tightness

Let V_U denote the value of an unskilled vacancy. Posting a vacancy costs k_U per unit time and yields contacts at rate $q_U(\theta_U)$. A vacancy meets type x with probability $(u_U(x) + d(x)u_S(x))/\tilde{\mathcal{U}}_U$ and creates a match at $p_0 = 1$, yielding value $J_U(x, 1)$ regardless of seeker origin. The vacancy HJB is

$$rV_U = -k_U + q_U(\theta_U) \left(\frac{\int_0^1 J_U(x, 1) (u_U(x) + d(x)u_S(x)) dx}{\tilde{\mathcal{U}}_U} - V_U \right). \quad (13)$$

Free entry implies $V_U = 0$, hence

$$q_U(\theta_U) = \frac{k_U \tilde{\mathcal{U}}_U}{\int_0^1 J_U(x, 1) (u_U(x) + d(x)u_S(x)) dx}, \quad (14)$$

which pins down market tightness θ_U given the endogenous composition of unemployed workers *including* the skilled-unemployed who have chosen unskilled search.

6.9 Reservation rule

Setting $S_U(x, p^*) = 0$ in the surplus equation (11):

$$p^*(x) = \frac{(r + \nu) U_U(x) - \lambda_U \int_{p^*}^1 S_U(x, p') dG(p')}{P_U x}. \quad (15)$$

6.10 Stationary cross-sectional distributions (unskilled)

The cross-sectional distribution of *untrained* workers across states is pinned down by flow balance. Let $u_U(x)$ denote the density of untrained workers in unskilled unemployment, $t(x)$ the density of workers in training, and define the untrained-segment mass by type:

$$m_U(x) \equiv \ell(x) - m_S(x),$$

where $m_S(x)$ is given by (18) below. The untrained employed density is the residual:

$$e_U(x) := m_U(x) - u_U(x) - t(x).$$

This residual now blends original-untrained and skilled-detoured workers, who are indistinguishable in e_U by the bookkeeping choice above.

Training. At equilibrium the training distribution is stationary:

$$0 = \tau(x) u_U(x) - (\phi + \nu) t(x), \quad \implies \quad t(x) = \frac{\tau(x)}{\phi + \nu} u_U(x). \quad (16)$$

Untrained unemployment. Untrained unemployment receives inflow from demographic replacement and from job destruction out of unskilled employment. It loses mass due to job finding, training entry, and demographic exit. The density flow balance is

$$(f_U + \tau(x) + \nu) u_U(x) = \nu \ell(x) + \lambda_U G(p^*(x)) e_U(x). \quad (17)$$

Separations from skilled-detoured workers contribute to the right-hand side automatically because they enter $e_U(x)$ on the same footing as the original untrained employed.

7 Unskilled-block equilibrium and solution algorithm

An *unskilled-block equilibrium* is a collection

$$\{\theta_U, U_U^{\text{search}}(\cdot), T(\cdot), U_U(\cdot), E_U(\cdot, \cdot), J_U(\cdot, \cdot), p^*(\cdot), u_U(\cdot), t(\cdot)\}$$

such that:

- (E1) **Household values and training.** $T(x)$ satisfies (3); $U_U^{\text{search}}(x)$ satisfies (4) (equivalently (10)); and unemployment values satisfy $U_U(x) = \max\{U_U^{\text{search}}(x), -c(x) + T(x)\}$, $\tau(x) = \mathbf{1}\{-c(x) + T(x) \geq U_U^{\text{search}}(x)\}$.
- (E2) **Match values and wages.** Worker and firm match values satisfy (5)–(6); wages satisfy Nash bargaining (7). (Equivalently, $w_U(x, p)$ is recovered from (12).)
- (E3) **Endogenous separation.** The reservation threshold $p^*(x)$ satisfies (8).
- (E4) **Vacancy creation (free entry).** Market tightness θ_U satisfies free entry (14) (augmented seeker pool).
- (E5) **Stationary cross-sectional distributions.** Densities satisfy the flow-balance conditions (16) and (17). Employment of untrained workers is the residual mass $e_U(x) = m_U(x) - u_U(x) - t(x)$, where $m_U(x) = \ell(x) - m_S(x)$.

7.1 Solution algorithm (unskilled side)

For computation, the unskilled block is organised as a two-layer fixed point. The *inner loop* solves the value functions given conjectures for market tightness and the reservation rule. The *outer loop* updates the policy objects $(\tau(\cdot), p^*(\cdot), \theta_U)$ and the stationary composition until all equilibrium conditions hold jointly. The cross-market pool $d(\cdot)u_S(\cdot)$ is supplied by the skilled block via the global iteration and treated as exogenous within one unskilled block solve.

Outer-loop unknowns. We iterate on

$$\left(\theta_U^{(n)}, p^{*,(n)}(\cdot), \tau^{(n)}(\cdot), u_U^{(n)}(\cdot), t^{(n)}(\cdot)\right),$$

with $d(\cdot)u_S(\cdot)$ held fixed from the previous global pass.

Step 1. Initialise (outer loop). Choose initial guesses $\theta_U^{(0)} > 0$ and a feasible reservation rule $p^{*,(0)}(x) \in (0, 1)$. Initialise a training policy $\tau^{(0)}(x)$ and stationary densities $u_U^{(0)}(x)$ and $t^{(0)}(x)$.

Step 2. Inner value-function iteration. Holding $(\theta_U^{(n)}, p^{*,(n)}(\cdot))$ fixed, iterate jointly on $(U_U^{\text{search}}, U_U, T, E_U, J_U)$ until convergence. One convenient inner cycle is:

- **Step 2.1. Training value.** Update $T^{(m+1)}(x)$ from (3), treating $U_S(\cdot)$ as given by the skilled block.
- **Step 2.2. Unemployment value and training decision.** Given $T^{(m+1)}$ and the current search value $U_U^{\text{search},(m)}$, update

$$U_U^{(m+1)}(x) = \max\{U_U^{\text{search},(m)}(x), -c(x) + T^{(m+1)}(x)\}$$

and the implied training policy

$$\tau^{(m+1)}(x) = \mathbf{1}\{-c(x) + T^{(m+1)}(x) \geq U_U^{\text{search},(m)}(x)\}.$$

- **Step 2.3. Match values.** Given $U_U^{(m+1)}(x)$ and the fixed reservation rule $p^{*,(n)}(\cdot)$, solve the coupled system (5)–(6) together with bargaining (7) to obtain $E_U^{(m+1)}(x, p)$ and $J_U^{(m+1)}(x, p)$.
- **Step 2.4. Search value.** Update $U_U^{\text{search},(m+1)}(x)$ from the HJB (4):

$$(r + \nu) U_U^{\text{search},(m+1)}(x) = b_U + f_U^{(n)}(E_U^{(m+1)}(x, 1) - U_U^{\text{search},(m+1)}(x)),$$

with $f_U^{(n)} = \theta_U^{(n)} q_U(\theta_U^{(n)})$.

Stop the inner loop when the sup norm of updates to $(U_U^{\text{search}}, U_U, E_U, J_U)$ is below tolerance.

Step 3. Update stationary distributions. Using the converged training policy $\tau^{(n+1)}(\cdot)$ from the inner loop and the current reservation rule $p^{*,(n)}(\cdot)$, update the stationary densities $(u_U^{(n+1)}, t^{(n+1)})$ by solving (16)–(17) pointwise in x .

Step 4. Update reservation rule p^* (outer update). Setting $S_U(x, p^*) = 0$ in the closed-form surplus expression yields the direct formula (15). Anderson acceleration (rank-1) is applied to the vector $\{p^{*,(n+1)}(x)\}_x$ before writing it back to cache.

Step 5. Update tightness θ_U by free entry. Given the updated composition $u_U^{(n+1)}(\cdot)$, the carried $d(\cdot)u_S(\cdot)$ from the previous global pass, and the converged frontier surplus $J_U(x, 1)$, update θ_U using free entry (14):

$$q_U(\theta_U^{(n+1)}) = \frac{k_U (\mathcal{U}_U^{(n+1)} + \int d u_S dx)}{\int_0^1 J_U(x, 1) (u_U^{(n+1)}(x) + d(x)u_S(x)) dx},$$

and invert $q_U(\theta) = \mu_U \theta^{-\eta_U}$ to obtain $\theta_U^{(n+1)}$. Use Anderson acceleration when updating tightness, to reduce fluctuations.

Step 6. Convergence (outer loop). Stop if

$$\max\left\{|\theta_U^{(n+1)} - \theta_U^{(n)}|, \|p^{*,(n+1)}(\cdot) - p^{*,(n)}(\cdot)\|_\infty, \|u_U^{(n+1)}(\cdot) - u_U^{(n)}(\cdot)\|_\infty\right\} < \text{tol}.$$

Otherwise set $n \leftarrow n + 1$ and return to Step 2.

Remark 1 (Two-block model). *In the full model, Step 2 takes $U_S(\cdot)$ as given from the skilled block, while the skilled block takes the trained mass $m_S(\cdot)$ (see (18) below) as given from the unskilled block. In addition, the unskilled free entry consumes $d(\cdot)u_S(\cdot)$ from the skilled block, and the skilled inner loop consumes $E_U(\cdot, 1)$ and f_U from the unskilled block. A global equilibrium is obtained by iterating on the two blocks until these link variables are consistent.*

8 Skilled labour market

This section adapts the Pissarides (2000) Chapter 4 framework (“Labour Turnover and On-the-Job Search”) to our segmented environment with worker heterogeneity $x \in [0, 1]$. The skilled block features (i) idiosyncratic match quality $p \in [0, 1]$ that is redrawn by shocks, (ii) endogenous separation via a cutoff $p_S^*(x)$, (iii) on-the-job search (OJS) as a discrete choice with a flow search cost σ_S , and (iv) the discrete *search- market choice* $d(x) \in \{0, 1\}$ for skilled-unemployed workers.

8.1 Primitives and market objects

Trained population. Only trained workers participate in the skilled market. Let $m_S(x)$ be the density of trained workers of type x . In stationarity — and incorporating the cross-market outflow —

$$m_S(x) = \frac{\phi t(x)}{\nu + d(x) f_U}. \quad (18)$$

Equation (18) replaces the baseline closed form $m_S(x) = (\phi/\nu) t(x)$. For $d(x) = 0$ types the baseline form is recovered; for $d(x) = 1$ types the extra outflow f_U adds to the denominator.

Production. A skilled match between worker type x and idiosyncratic quality $p \in [0, 1]$ produces $\pi_S(x, p) = \gamma_{P_S} x^{\gamma_{P_S}} p$ (see (2)).

Separations and quality shocks. A filled skilled match is destroyed exogenously at Poisson rate $\xi_S > 0$. Match quality is hit by shocks at Poisson rate $\lambda_S > 0$. Upon a shock, quality is redrawn i.i.d. from Γ on $[0, 1]$ with density $\gamma(\cdot)$. A match is endogenously destroyed whenever the post-shock draw is below the reservation cutoff $p_S^*(x) \in (0, 1)$.

Interpretation of Γ . Γ is the match-quality distribution in the skilled market. We parameterise $\Gamma = \text{Beta}(a_\Gamma, b_\Gamma)$.

OJS (discrete choice). An employed skilled worker chooses whether to search while employed. Searching incurs a flow cost $\sigma_S \geq 0$. If searching, the worker receives outside offers at rate $\kappa_S \equiv \theta_S q_S(\theta_S)$. Each offer is a draw $\tilde{p} \sim \Gamma$. The worker quits to the outside job iff $\tilde{p} > p$.

Demographic turnover. All workers exit at Poisson rate $\nu > 0$.

8.2 Matching and tightness

Let $u_S(x)$ denote the density of skilled unemployed by type, and let $e_S(x, p)$ denote the density of employed trained workers by (x, p) . Only workers with $d(x) = 0$ search the skilled market when unemployed; employed skilled workers may search via OJS, captured by $s^*(x, p) \in \{0, 1\}$ (defined below). Define the aggregate mass of skilled job seekers as

$$\tilde{u}_S \equiv \underbrace{\int_0^1 (1 - d(x)) u_S(x) dx}_{\text{unemployed S-searchers}} + \underbrace{\int_0^1 \int_0^1 s^*(x, p) e_S(x, p) dp dx}_{\text{employed S-searchers}}.$$

Let $\mathcal{V}_S$ be the mass of skilled vacancies; tightness is

$$\theta_S = \frac{\mathcal{V}_S}{\tilde{u}_S}, \quad q_S(\theta_S) = \mu_S \theta_S^{-\eta_S}, \quad \kappa_S \equiv \theta_S q_S(\theta_S).$$

8.3 Two unemployment values and the discrete search-market choice

Let:

- $U_S(x)$ be the value of skilled unemployment;
- $E_S^0(x, p)$ and $E_S^1(x, p)$ be worker values in a job of quality p without and with OJS;
- $J_S^0(x, p)$ and $J_S^1(x, p)$ be the corresponding firm values;
- V_S be the value of a skilled vacancy.

Define the worker's continuation value in a job of quality p as

$$E_S(x, p) \equiv \max\{E_S^0(x, p), E_S^1(x, p)\}, \quad J_S(x, p) \equiv J_S^{s^*(x, p)}(x, p).$$

Two candidate unemployment values. Conditional on a fixed search-market policy $d(x)$, the unemployment Bellman is

$$(r + \nu) U_S(x) = b_S + (1 - d(x)) A_S(x) + d(x) A_U(x),$$

with the skilled-market option value

$$A_S(x) = \kappa_S \int_{p_S^*(x)}^1 (E_S(x, \tilde{p}) - U_S(x)) d\Gamma(\tilde{p}),$$

and the unskilled-market option value

$$A_U(x) = f_U (E_U(x, 1) - U_S(x))_+,$$

where $E_U(x, 1) = U_U(x) + \beta_U S_U(x, 1)$ is the worker value of a fresh unskilled match (worker treated as untrained at bargaining). Define the two *candidate* unemployment values:

$$U_S^{(0)}(x) \equiv \frac{b_S + \kappa_S \beta_S \mathcal{I}_S(x)}{r + \nu}, \tag{19}$$

$$U_S^{(1)}(x) \equiv \frac{b_S + f_U E_U(x, 1)}{r + \nu + f_U}, \tag{20}$$

where $\mathcal{I}_S(x) \equiv \int_{p_S^*(x)}^1 S_S(x, \tilde{p}) d\Gamma(\tilde{p})$ is the skilled tail integral and we used Nash bargaining ($E_S - U_S = \beta_S S_S$) in A_S . The form of $U_S^{(1)}(x)$ embeds the optimality of *always accepting* an unskilled offer when $d(x) = 1$ (the worker would otherwise switch to $d = 0$).

Discrete policy. The worker picks the market that delivers the higher unemployment value:

$$d(x) = \mathbf{1}\{U_S^{(1)}(x) > U_S^{(0)}(x)\}, \quad U_S(x) = \max\{U_S^{(0)}(x), U_S^{(1)}(x)\}. \quad (21)$$

Under monotonicity (which typically holds in the parameter region of interest), d is a single-cutoff policy in x . Low-ability trained workers, for whom the skilled option value $\kappa_S \beta_S \mathcal{I}_S(x)$ is small, choose $d = 1$; high-ability workers choose $d = 0$.

8.4 Employed-worker HJBs (unchanged in form)

Employed worker, no search ($s = 0$). With no search, the only events are demographic exit ν , exogenous separation ξ_S , and quality shocks λ_S . The worker HJB is

$$(r + \nu + \xi_S + \lambda_S) E_S^0(x, p) = w_S^0(x, p) + \xi_S U_S(x) + \lambda_S \left[U_S(x) \Gamma(p_S^*(x)) + \int_{p_S^*(x)}^1 E_S(x, p') d\Gamma(p') \right]. \quad (22)$$

Employed worker, search ($s = 1$).

$$(r + \nu + \xi_S + \lambda_S) E_S^1(x, p) = (w_S^1(x, p) - \sigma_S) + \xi_S U_S(x) + \lambda_S \left[U_S(x) \Gamma(p_S^*(x)) + \int_{p_S^*(x)}^1 E_S(x, p') d\Gamma(p') \right] + \kappa_S \int_{\max\{p, p_S^*(x)\}}^1 (E_S(x, \tilde{p}) - E_S^1(x, p)) d\Gamma(\tilde{p}). \quad (23)$$

Firm values.

$$(r + \nu + \xi_S + \lambda_S) J_S^0(x, p) = \gamma_{P_S} x^{\gamma_{P_S}} p - w_S^0(x, p) + \lambda_S \int_{p_S^*(x)}^1 J_S(x, p') d\Gamma(p'), \quad (24)$$

$$(r + \nu + \xi_S + \lambda_S + \kappa_S(1 - \Gamma(p))) J_S^1(x, p) = \gamma_{P_S} x^{\gamma_{P_S}} p - w_S^1(x, p) + \lambda_S \int_{p_S^*(x)}^1 J_S(x, p') d\Gamma(p'). \quad (25)$$

Crucially, $U_S(x)$ in (22)–(25) is the *discrete-choice max* from (21). No other modification of the employed-worker HJBs is needed: the cross-market mechanism enters the skilled block solely through the $U_S(x)$ that the surplus block consumes.

8.5 Policy rules: endogenous separation and OJS cutoff

Define overall surplus $S_S(x, p) \equiv \max\{S_S^0(x, p), S_S^1(x, p)\}$. Endogenous separation is characterised by a cutoff $p_S^*(x)$ satisfying

$$S_S(x, p_S^*(x)) = 0, \quad S_S(x, p) \geq 0 \iff p \geq p_S^*(x). \quad (26)$$

The worker searches on the job iff $s^*(x, p) = \mathbf{1}\{E_S^1(x, p) \geq E_S^0(x, p)\}$, with cutoff $p_S^{\text{oj}}(x) \geq p_S^*(x)$ such that

$$E_S^1(x, p) \geq E_S^0(x, p) \iff p < p_S^{\text{oj}}(x), \quad E_S^1(x, p_S^{\text{oj}}(x)) = E_S^0(x, p_S^{\text{oj}}(x)). \quad (27)$$

8.6 Surplus and Wages

Because $E_S(x, p) = U_S(x) + \beta_S S_S(x, p)$ and $J_S(x, p) = (1 - \beta_S) S_S(x, p)$ under the optimal regime, summing the worker and firm HJBs and subtracting the unemployment HJB eliminates wages. Substituting $U_S(x)$ from (21) yields:

Surplus with no search ($s = 0$).

$$(r + \nu + \xi_S + \lambda_S) S_S^0(x, p) = \gamma_{P_S} x^{\gamma_{P_S}} p - (r + \nu) U_S(x) + \lambda_S \mathcal{I}_S(x). \quad (28)$$

Surplus with OJS ($s = 1$).

$$(r + \nu + \xi_S + \lambda_S + \kappa_S(1 - \Gamma(p))) S_S^1(x, p) = \gamma_{P_S} x^{\gamma_{P_S}} p - (r + \nu) U_S(x) - \sigma_S + \lambda_S \mathcal{I}_S(x) + \kappa_S \beta_S \int_p^1 S_S(x, p') d\Gamma(p'). \quad (29)$$

Both equations are identical in form to the previous draft; *only the value of $U_S(x)$ that enters them is new.*

8.7 Wage schedules

$$w_S^0(x, p) = \beta_S \gamma_{P_S} x^{\gamma_{P_S}} p + (1 - \beta_S) b_S + \beta_S(1 - \beta_S) \kappa_S \int_{p_S^*(x)}^1 S_S(x, p') d\Gamma(p'), \quad (30)$$

$$w_S^1(x, p) = \beta_S \gamma_{P_S} x^{\gamma_{P_S}} p + (1 - \beta_S)(b_S + \sigma_S) + \beta_S(1 - \beta_S) \kappa_S \int_{p_S^*(x)}^p S_S(x, p') d\Gamma(p'). \quad (31)$$

The OJS wage premium remains

$$w_S^1(x, p) - w_S^0(x, p) = -(1 - \beta_S) \sigma_S - \beta_S(1 - \beta_S) \kappa_S \int_p^1 S_S(x, p') d\Gamma(p') \leq 0. \quad (32)$$

8.8 Vacancies, poaching, and free entry

Posting a skilled vacancy costs $k_S > 0$ per unit time. Define the density of skilled job seekers (unemployed S-searchers plus employed S-searchers):

$$\tilde{u}_S(x) \equiv (1 - d(x)) u_S(x) + \int_0^1 s^*(x, p) e_S(x, p) dp, \quad \tilde{\mathcal{U}}_S = \int_0^1 \tilde{u}_S(x) dx.$$

Workers with $d(x) = 1$ are seeking in the U-market, not in the S-market, and so contribute zero to the skilled seeker pool.

Conditional on a contact, the type is drawn from $\tilde{u}_S$, and the expected firm surplus is

$$\begin{aligned} \mathcal{J}_S \equiv \frac{1}{\tilde{\mathcal{U}}_S} & \left[\int_0^1 (1 - d(x)) u_S(x) \int_{p_S^*(x)}^1 J_S(x, \tilde{p}) d\Gamma(\tilde{p}) dx \right. \\ & \left. + \int_0^1 \int_0^1 s^*(x, p) e_S(x, p) \int_{\max\{p, p_S^*(x)\}}^1 J_S(x, \tilde{p}) d\Gamma(\tilde{p}) dp dx \right]. \end{aligned} \quad (33)$$

Free entry implies $V_S = 0$ and

$$q_S(\theta_S) \mathcal{J}_S = k_S. \quad (34)$$

8.9 Stationary cross-sectional distributions (trained workers)

Accounting within the trained population:

$$m_S(x) = u_S(x) + \int_{p_S^*(x)}^1 e_S(x, p) dp.$$

The endogenous destruction hazard and the OJS quit hazard are unchanged:

$$\delta_S^{\text{end}}(x) \equiv \lambda_S \Gamma(p_S^*(x)), \quad \delta_S^{\text{jj}}(x, p) \equiv s^*(x, p) \kappa_S (1 - \Gamma(p)).$$

Unemployment balance (modified). For each x , the outflow from u_S branches on the search-market choice:

$$\begin{aligned} & (\nu + (1 - d(x)) \kappa_S (1 - \Gamma(p_S^*(x))) + d(x) f_U) u_S(x) \\ & = \phi t(x) + \int_{p_S^*(x)}^1 (\xi_S + \delta_S^{\text{end}}(x)) e_S(x, p) dp. \end{aligned} \quad (35)$$

For $d(x) = 0$ types this is the baseline balance. For $d(x) = 1$ types the matching outflow $\kappa_S (1 - \Gamma(p_S^*(x)))$ is replaced by f_U (the worker leaves the segment to take an unskilled job).

Employment-by-quality balance. For $d(x) = 0$ types, the standard balance applies:

$$\begin{aligned} & (\nu + \xi_S + \lambda_S + \delta_S^{\text{jj}}(x, p)) e_S(x, p) \\ & = \kappa_S u_S(x) \gamma(p) + \lambda_S \gamma(p) \int_{p_S^*(x)}^1 e_S(x, p') dp' + \kappa_S \gamma(p) \int_{p_S^*(x)}^p s^*(x, p') e_S(x, p') dp'. \end{aligned} \quad (36)$$

For $d(x) = 1$ types, there is no inflow into skilled employment because the worker is searching the U-market, so in stationarity

$$e_S(x, p) = 0 \quad \text{for all } p, \text{ whenever } d(x) = 1. \quad (37)$$

Combined with (35), this gives the closed form $u_S(x) = \phi t(x) / (\nu + f_U)$ on the $d = 1$ region, consistent with (18).

Remark 2 (Implementation). On a grid $p_1 < \dots < p_{N_p}$, equation (36) becomes a linear system in the unknown vector $\{e_S(x, p_i)\}_{i=1}^{N_p}$ for each x with $d(x) = 0$. For x with $d(x) = 1$ the system collapses to $e_S(x, p_i) = 0$, $u_S(x) = \phi t(x) / (\nu + f_U)$.

9 Skilled-block equilibrium and nested fixed-point algorithm

Take the trained population density $m_S(\cdot)$, the unskilled contact rate f_U , and the unskilled frontier worker value $E_U(\cdot, 1)$ as given from the unskilled block. A *skilled-block equilibrium* is a collection

$$\begin{aligned} & \{\theta_S, U_S(\cdot), E_S^0(\cdot, \cdot), E_S^1(\cdot, \cdot), J_S^0(\cdot, \cdot), J_S^1(\cdot, \cdot), w_S^0(\cdot, \cdot), w_S^1(\cdot, \cdot), \\ & d(\cdot), p_S^*(\cdot), p_S^{\text{oj}}(\cdot), s^*(\cdot, \cdot), u_S(\cdot), e_S(\cdot, \cdot)\} \end{aligned}$$

such that:

- (S1) **Worker values.** Unemployment satisfies the discrete-choice envelope (21) with branches (19)–(20). Employed values satisfy (22)–(23).
- (S2) **Firm values.** Filled-job values satisfy (24)–(25).
- (S3) **OJS policy.** $s^*(x, p)$ satisfies (27).
- (S4) **Endogenous separation.** The reservation cutoff $p_S^*(x)$ satisfies (26).
- (S5) **Wage determination.** Wages satisfy Nash bargaining (equivalently (30)–(31)).
- (S6) **Tightness and free entry.** Tightness is defined on the skilled seeker pool $\mathcal{U}_S$ (excluding $d = 1$ types) and free entry holds: $q_S(\theta_S) \mathcal{J}_S = k_S$.
- (S7) **Stationary distributions.** Given $(\theta_S, p_S^*, p_S^{\text{oj}}, s^*, d)$, the densities (u_S, e_S) satisfy (35)–(37) and the accounting identity $m_S(x) = u_S(x) + \int_{p_S^*(x)}^1 e_S(x, p) dp$.

9.1 Nested fixed-point algorithm (skilled side)

The skilled block is organised as a nested fixed point.

Outer-loop unknowns. Iterate on $(\theta_S^{(n)}, p_S^{*,(n)}(\cdot), p_S^{\text{oj},(n)}(\cdot))$, with $f_U, E_U(\cdot, 1), m_S(\cdot)$ held fixed from the latest unskilled solve.

Step 1. Initialise (outer loop). Choose $\theta_S^{(0)} > 0$ and feasible cutoffs $p_S^{*,(0)}(x), p_S^{\text{oj},(0)}(x)$.

Step 2. Inner loop: surplus iteration. Holding $(\theta_S^{(n)}, p_S^{*,(n)}, p_S^{\text{oj},(n)})$ fixed, iterate on (U_S, S_S^0, S_S^1, d) until convergence. Let $\kappa_S = \theta_S^{(n)} q_S(\theta_S^{(n)})$ throughout. For each x and each pass m :

- **Step 2.1. Tail integral.** Let j_0 be the first grid index with $p_{j_0} \geq p_S^{*,(n)}(x)$. Accumulate

$$\mathcal{I}^{(m)}(x) = \int_{p_S^{*,(n)}(x)}^1 S_S^{\text{max},(m)}(x, p') d\Gamma(p'), \quad S_S^{\text{max},(m)} = \max\{S_S^{0,(m)}, S_S^{1,(m)}\}.$$

- **Step 2.2. Two candidate U_S branches.** Compute

$$U_S^{(0)}(x) = \frac{b_S + \kappa_S \beta_S \mathcal{I}^{(m)}(x)}{r + \nu}, \quad U_S^{(1)}(x) = \frac{b_S + f_U E_U(x, 1)}{r + \nu + f_U},$$

and set

$$d^{(m+1)}(x) = \mathbf{1}\{U_S^{(1)}(x) > U_S^{(0)}(x)\}, \quad U_S^{(m+1)}(x) = \max\{U_S^{(0)}(x), U_S^{(1)}(x)\}.$$

- **Step 2.3. Surplus on p -grid.** For each p_j with $j \geq j_0$:

$$S_S^{0,(m+1)}(x, p_j) = \frac{\gamma_{P_S} x^{\gamma_{P_S}} p_j - (r + \nu) U_S^{(m+1)} + \lambda_S \mathcal{I}^{(m)}}{r + \nu + \xi_S + \lambda_S},$$

$$S_S^{1,(m+1)}(x, p_j) = \frac{\gamma_{P_S} x^{\gamma_{P_S}} p_j - (r + \nu) U_S^{(m+1)} - \sigma_S + \lambda_S \mathcal{I}^{(m)} + \kappa_S \beta_S \int_{p_j}^1 S_S^{\text{max},(m)} d\Gamma}{r + \nu + \xi_S + \lambda_S + \kappa_S(1 - \Gamma(p_j))}.$$

For $j < j_0$, $S_S^{0,(m+1)} = S_S^{1,(m+1)} = 0$.

- **Step 2.4. Nash split.** $E_S^{s,(m+1)} = U_S^{(m+1)} + \beta_S S_S^{s,(m+1)}$, $J_S^{s,(m+1)} = (1 - \beta_S) S_S^{s,(m+1)}$, $s \in \{0, 1\}$.

Stop when $\sup_{x,p} \max\{|S_S^{0,(m+1)} - S_S^{0,(m)}|, |S_S^{1,(m+1)} - S_S^{1,(m)}|, |U_S^{(m+1)} - U_S^{(m)}|\} < \text{tol_inner}$. Note that $d(x)$ is a by-product of the value iteration and requires no separate fixed-point loop; its discrete jumps occur at the boundary of the $U_S^{(0)} = U_S^{(1)}$ crossing.

Step 3. Update cutoffs (outer update). Unchanged from the previous draft: locate $p_S^{*,(n+1)}(x)$ at the first grid point where $S_S^{\text{max},(m+1)}(x, p_j) \geq 0$, and $p_S^{\text{oj},(n+1)}(x)$ at the first grid point where $S_S^{1,(m+1)}(x, p_j) - S_S^{0,(m+1)}(x, p_j) \leq 0$, both with damped updates.

Step 4. Stationary distributions (branch on d). For x with $d(x) = 0$: solve the standard flow-balance system (35)–(36) on the discretised p grid.

For x with $d(x) = 1$: use the closed form

$$u_S(x) = \frac{\phi t(x)}{\nu + f_U}, \quad e_S(x, p) = 0 \quad \text{for all } p.$$

Compute the seeker density $\tilde{u}_S(x) = (1 - d(x)) u_S(x) + \int_0^1 s^*(x, p) e_S(x, p) dp$.

Step 5. Update tightness θ_S by free entry. Compute $\mathcal{J}_S$ from (33) using (u_S, e_S, s^*, d) and the converged $J_S(x, p)$. Then

$$q_S(\theta_S^{(n+1)}) = \frac{k_S}{\mathcal{J}_S}, \quad \theta_S^{(n+1)} = (\mu_S / q_S(\theta_S^{(n+1)}))^{1/\eta_S}.$$

Apply Anderson acceleration to reduce fluctuations.

Step 6. Convergence (outer loop). Stop if

$$\max\left\{|\theta_S^{(n+1)} - \theta_S^{(n)}|, \|p_S^{*,(n+1)} - p_S^{*,(n)}\|_\infty, \|p_S^{\text{oj},(n+1)} - p_S^{\text{oj},(n)}\|_\infty\right\} < \text{tol}.$$

Otherwise set $n \leftarrow n + 1$ and return to Step 2.

Link to the unskilled block. On convergence, the skilled block exposes $U_S(\cdot)$ and the product $d(\cdot)u_S(\cdot)$ to the unskilled block; the unskilled block exposes f_U , $E_U(\cdot, 1)$, and $m_S(\cdot)$ to the skilled block.

10 Full model equilibrium and global algorithm

A *full equilibrium* consists of unskilled-block and skilled-block objects such that:

- (F1) The unskilled block satisfies conditions (E1)–(E5) given the skilled unemployment value $U_S(\cdot)$ and the cross-market seeker contribution $d(\cdot)u_S(\cdot)$.
- (F2) The skilled block satisfies conditions (S1)–(S7) given the trained density

$$m_S(x) = \frac{\phi t(x)}{\nu + d(x)f_U},$$

the unskilled contact rate f_U , and the frontier worker value $E_U(\cdot, 1)$.

- (F3) The link variables are consistent: $U_S(\cdot)$, $m_S(\cdot)$, $E_U(\cdot, 1)$, f_U , and $d(\cdot)u_S(\cdot)$ are unchanged across the last global iteration.

10.1 Global fixed-point algorithm

The full model is solved via an outer fixed point on the link variables. Only $(U_S(\cdot), m_S(\cdot))$ are accelerated by Anderson; the remaining link objects are derived deterministically within each pass.

Step 1. Initialise. Choose initial guesses $U_S^{(0)}(\cdot)$ and $m_S^{(0)}(\cdot)$; set $d^{(0)}(\cdot)u_S^{(0)}(\cdot) \equiv 0$ (degenerates to the baseline unskilled solve on the first pass).

Step 2. Solve the unskilled block. Given $U_S^{(n)}(\cdot)$ and the carried $d^{(n)}(\cdot)u_S^{(n)}(\cdot)$, solve the unskilled equilibrium as in Section 7. Form

$$S_U^{(n)}(\cdot, 1) = J_U^{(n)}(\cdot, 1)/(1 - \beta_U), \quad E_U^{(n)}(\cdot, 1) = U_U^{(n)}(\cdot) + \beta_U S_U^{(n)}(\cdot, 1), \quad f_U^{(n)} = \theta_U^{(n)} q_U(\theta_U^{(n)}).$$

Step 3. Solve the skilled block. Given $m_S^{(n)}$, $f_U^{(n)}$, $E_U^{(n)}(\cdot, 1)$, solve the skilled equilibrium of Section 9. Obtain $U_S^{\text{new}}(\cdot)$, $d^{\text{new}}(\cdot)$, and $u_S^{\text{new}}(\cdot)$.

Step 4. Update link variables. Compute

$$m_S^{\text{new}}(x) = \frac{\phi t^{(n)}(x)}{\nu + d^{\text{new}}(x) f_U^{(n)}}.$$

Apply Anderson($m = 1$) to the joint state (U_S, m_S) to obtain $(U_S^{(n+1)}, m_S^{(n+1)})$. Write back to the unskilled cache:

$$d^{(n+1)}(\cdot) u_S^{(n+1)}(\cdot) \leftarrow d^{\text{new}}(\cdot) u_S^{\text{new}}(\cdot).$$

Step 5. Convergence. Stop if

$$\max\{\|U_S^{(n+1)} - U_S^{(n)}\|_\infty, \|m_S^{(n+1)} - m_S^{(n)}\|_\infty\} < \text{tol}.$$

Otherwise set $n \leftarrow n + 1$ and return to Step 2.

11 Transition dynamics: evolution of densities after a parameter change

Consider an unexpected, permanent change in some parameters at calendar time T . Where the distinction matters, we denote pre-switch quantities with superscript “pre” and post-switch quantities with “post”. For $t > T$, all hazards and policies are those implied by the post-switch parameters.

Equilibrium object. A transition equilibrium is a collection of time paths for value functions, policies (including $d(\cdot, t)$), market tightness, and cross-sectional distributions such that:

1. Value functions solve time-dependent HJB equations given $(\theta_U(t), \theta_S(t))$;
2. Policies $(\tau, p_U^*, p_S^*, p_S^{\text{oj}}, d)$ are optimal pointwise;
3. Distributions solve the laws of motion forward in time;
4. Market tightness satisfies free entry at each date;
5. Initial distributions match the pre-switch steady state and the economy converges to the post-switch steady state.

11.1 Time-dependent objects and hazards

All objects are time-dependent for $t > T$. Let $u_U(x, t)$, $t(x, t)$, $u_S(x, t)$, $e_S(x, p, t)$ denote the densities, and $\theta_U(t)$, $\theta_S(t)$ the tightnesses, with

$$f_U(t) = \theta_U(t) q_U(\theta_U(t)), \quad f_S(t) = \theta_S(t) q_S(\theta_S(t)).$$

Policies are time-dependent:

$$\tau(x, t), \quad p_U^*(x, t), \quad p_S^*(x, t), \quad p_S^{\text{oj}}(x, t), \quad d(x, t).$$

Endogenous destruction hazards:

$$\delta_U(x, t) = \lambda_U G(p_U^*(x, t)), \quad \delta_S^{\text{end}}(x, t) = \lambda_S \Gamma(p_S^*(x, t)).$$

11.2 Segment accounting identities

Define

$$m_U(x, t) \equiv u_U(x, t) + t(x, t) + e_U(x, t), \quad m_S(x, t) \equiv u_S(x, t) + e_S^{\text{tot}}(x, t),$$

where $e_S^{\text{tot}}(x, t) \equiv \int_{p_S^*(x, t)}^1 e_S(x, p, t) dp$.

11.3 Laws of motion: unskilled segment

Training stock.

$$\partial_t t(x, t) = \tau(x, t) u_U(x, t) - (\phi + \nu) t(x, t). \quad (38)$$

Untrained unemployment. The inflow from cross-market separations enters through the residual e_U on the destruction term (since skilled-detoured employed are pooled into e_U). The balance retains its baseline form:

$$\partial_t u_U(x, t) = \nu \ell(x) + \delta_U(x, t) e_U(x, t) - (f_U(t) + \tau(x, t) + \nu) u_U(x, t). \quad (39)$$

Untrained-segment mass by type. The population identity $m_U(x, t) = \ell(x) - m_S(x, t)$ gives $\partial_t m_U(x, t) = -\partial_t m_S(x, t)$, so the substantive ODE is (41) below.

11.4 Laws of motion: skilled segment

Skilled unemployment (modified).

$$\begin{aligned} \partial_t u_S(x, t) = & \phi t(x, t) + (\xi_S + \delta_S^{\text{end}}(x, t)) e_S^{\text{tot}}(x, t) \\ & - \left(\nu + (1 - d(x, t)) f_S(t) (1 - \Gamma(p_S^*(x, t))) + d(x, t) f_U(t) \right) u_S(x, t). \end{aligned} \quad (40)$$

Trained-segment mass by type (modified).

$$\partial_t m_S(x, t) = \phi t(x, t) - \nu m_S(x, t) - d(x, t) f_U(t) u_S(x, t). \quad (41)$$

The extra outflow $d(x, t) f_U(t) u_S(x, t)$ moves mass from the skilled segment to the unskilled segment; it does not affect the total population identity because the receiving workers are absorbed into e_U on the unskilled side.

11.5 Aggregate mass dynamics

Integrating (41) over x :

$$\dot{M}_S(t) = \phi \mathcal{T}(t) - \nu M_S(t) - f_U(t) \int_0^1 d(x, t) u_S(x, t) dx,$$

where $\mathcal{T}(t) \equiv \int_0^1 t(x, t) dx$. The total-population invariance $M_U(t) + M_S(t) = \text{const}$ is preserved because the cross-market outflow from m_S reappears as an inflow to m_U via e_U , leaving the sum unchanged.

11.6 Initial condition at the switch

Let $(u_U^{\text{pre}}(x), t^{\text{pre}}(x), u_S^{\text{pre}}(x), m_S^{\text{pre}}(x))$ denote the pre-switch stationary densities. At $t = T^+$,

$$u_U(x, T^+) = u_U^{\text{pre}}(x), \quad t(x, T^+) = t^{\text{pre}}(x), \quad u_S(x, T^+) = u_S^{\text{pre}}(x), \quad m_S(x, T^+) = m_S^{\text{pre}}(x).$$

In a tranquil pre-switch regime we typically have $d^{\text{pre}}(x) \equiv 0$, so the initial condition coincides with the baseline pre-switch state.

11.7 Market tightness along the transition

Unskilled market (modified).

$$q_U(\theta_U(t)) = \frac{k_U \tilde{\mathcal{U}}_U(t)}{\int_0^1 J_U(x, 1, t) (u_U(x, t) + d(x, t) u_S(x, t)) dx},$$

where $\tilde{\mathcal{U}}_U(t) = \int_0^1 (u_U + d u_S)(x, t) dx$.

Skilled market.

$$q_S(\theta_S(t)) = \frac{k_S}{\mathcal{J}_S(t)},$$

where $\mathcal{J}_S(t)$ uses the time- t seeker density excluding $d(\cdot, t) = 1$ types.

11.8 Transition mapping

At each t :

$$(u_U, t, u_S, e_S)_t \Rightarrow (\theta_U, \theta_S)_t \Rightarrow \text{value functions} \Rightarrow (\tau, p_U^*, p_S^*, p_S^{\text{oj}}, d)_t \Rightarrow \partial_t(u_U, t, u_S, e_S).$$

11.9 Exact transition equilibrium: numerical algorithm

The transition path is a forward–backward fixed point.

Step 0. Boundary objects. Compute the pre- and post-switch stationary equilibria (both under the DC mechanism).

Step 1. Initial guess. Initial paths $\{\theta_U^{(0)}(t_n), \theta_S^{(0)}(t_n)\}_{n=0}^N$.

Step 2. Backward pass. Given $(\theta_U^{(k)}, \theta_S^{(k)})$, solve the HJB system backward from t_N to t_0 . At each t_n compute the two U_S branches (19)–(20), set $d(x, t_n)$ by (21), and propagate the surplus equations.

Step 3. Forward pass. Given the policy paths $(\tau, p_U^*, p_S^*, p_S^{\text{oj}}, d)$, integrate the laws of motion (38), (39), (40) from t_0 to t_N .

Step 4. Update tightness paths. Recompute $\theta_U^{\text{new}}(t_n), \theta_S^{\text{new}}(t_n)$ from free entry with the augmented unskilled seeker pool and the seeker-corrected skilled pool.

Step 5. Convergence. Iterate Steps 2–4 until

$$\max_n (|\theta_U^{(k+1)}(t_n) - \theta_U^{(k)}(t_n)|, |\theta_S^{(k+1)}(t_n) - \theta_S^{(k)}(t_n)|) < \text{tol}.$$

12 Model Properties

This section collects key qualitative properties of the model that shape the economic interpretation of the estimation results and the transition-dynamics exercises.

12.1 Training cutoff and the education margin

Proposition 1 (Training cutoff). *Under the maintained functional forms ($c'(x) < 0$, U_S and T continuous in x), the net training gain*

$$\Delta_T(x) = -c(x) + T(x) - U_U^{\text{search}}(x)$$

is increasing in x . Hence the optimal training policy is a cutoff rule: $\tau(x) = \mathbf{1}\{x > \bar{x}\}$, $\Delta_T(\bar{x}) = 0$. Workers with innate type $x > \bar{x}$ train upon entering unskilled unemployment; those with $x \leq \bar{x}$ search in the unskilled market.

Intuition. Higher-ability workers benefit from training through two channels: (i) the direct cost $c(x) = e^c (1 - x) e^{-x}$ is decreasing in x , and (ii) the return to skilled-market access, captured by $T(x) = (b_T + \phi U_S(x))/(r + \phi + \nu)$, is increasing in x because the skilled-side option value $\kappa_S \beta_S \mathcal{I}_S(x)$ rises with ability. Under the DC formulation, $U_S(x) = \max\{U_S^{(0)}(x), U_S^{(1)}(x)\}$ sets a *floor* on the training return at $U_S^{(1)}(x)$, so the relative payoff to training is muted whenever the cross-market option binds.

12.2 Cross-market search cutoff

Proposition 2 (Search-market cutoff). *Suppose $\mathcal{I}_S(x)$ is increasing in x (which holds under $\gamma_{P_S} > 1$ and an interior $p_S^*(x)$). Then $U_S^{(1)}(x) - U_S^{(0)}(x)$ is decreasing in x , and there exists $\underline{x} \in [0, 1]$ such that $d(x) = 1$ for $x \leq \underline{x}$ and $d(x) = 0$ for $x > \underline{x}$, with*

$$\frac{b_S + f_U E_U(\underline{x}, 1)}{r + \nu + f_U} = \frac{b_S + \kappa_S \beta_S \mathcal{I}_S(\underline{x})}{r + \nu}.$$

Intuition. Low- x trained workers face small skilled-side option values (both $\mathcal{I}_S(x)$ and the skilled match surplus depend on $x^{\gamma_{P_S}}$). Their best outside option is to redirect search to the unskilled market, where the production technology is linear in x rather than convex. High- x workers retain strong incentives to remain in the skilled search pool.

Comparative statics. $\underline{x}$ moves with the same primitives as $\bar{x}$ but with opposite signs in two key channels. A fall in γ_{P_S} (crisis-style skilled productivity loss) lowers $\mathcal{I}_S(x)$ across the board, raising $\underline{x}$ — more types flip to unskilled search. Conversely, a rise in f_U (recovery on the unskilled side) also raises $\underline{x}$. A fall in f_U pushes $\underline{x}$ down to zero, restoring the baseline no-cross-market equilibrium.

12.3 Separation thresholds

Proposition 3 (Unskilled separation cutoff). *For each type x , there exists a unique reservation match quality $p^*(x) \in (0, 1)$ satisfying $J_U(x, p^*) = 0$:*

$$p^*(x) = \frac{(r + \nu) U_U(x) - \lambda_U \int_{p^*}^1 S_U(x, p') dG(p')}{P_U x}.$$

The cutoff is decreasing in x .

Proposition 4 (Skilled separation and OJS cutoffs). *For each type x :*

1. *There exists a separation cutoff $p_S^*(x)$ satisfying $S_S(x, p_S^*) = 0$. Matches with $p < p_S^*$ are destroyed upon a quality shock.*
2. *There exists an OJS cutoff $p_S^{\text{oj}}(x) \geq p_S^*(x)$ satisfying $E_S^1(x, p_S^{\text{oj}}) = E_S^0(x, p_S^{\text{oj}})$.*

Both cutoffs are decreasing in x . For types with $d(x) = 1$ the $p_S^(x)$ and $p_S^{\text{oj}}(x)$ retain their definitions but are not realised in stationarity because $e_S(x, p) = 0$.*

12.4 Wage structure

Wage schedules (12), (30), and (31) are unchanged in form. The within-group dispersion, skill premium, OJS premium, and bargaining-variation properties carry over from the previous draft. An additional property follows from the DC mechanism:

5. **Cross-segment composition.** Following a crisis in which $\underline{x}$ rises, the unskilled-employed composition shifts toward higher x (the absorbed ex-trained workers). Aggregate unskilled wages rise through composition alone, even at fixed bargaining and productivity primitives. This composition channel is absent in the previous draft.

12.5 Market tightness and free entry

For the unskilled market:

$$q_U(\theta_U) = \frac{k_U (\mathcal{U}_U + \int d u_S dx)}{\int_0^1 J_U(x, 1) (u_U + d u_S)(x) dx},$$

and for the skilled market: $q_S(\theta_S) \mathcal{J}_S = k_S$, with $\mathcal{J}_S$ defined by (33).

Tightness responds to parameter changes through four channels: (i) direct shifts in vacancy costs k_j and productivity; (ii) composition effects through changes in the unemployed pool; (iii) shifts in the matching technology μ_j, η_j (Beveridge-curve shift); and (iv) *the new DC channel*: a shift in $d(\cdot)$ inflates or deflates the unskilled seeker pool and deflates or inflates the skilled seeker pool correspondingly. Channel (iv) generates a *mechanical* adjustment in (θ_U, θ_S) that has no analogue in the previous draft.

12.6 Transition dynamics: adjustment speed

The aggregate skilled share $M_S(t)$ satisfies

$$\dot{M}_S(t) = \phi \mathcal{T}(t) - \nu M_S(t) - f_U(t) \int_0^1 d(x, t) u_S(x, t) dx,$$

which adds a third adjustment channel to demographic turnover and training completion: the *cross-market drain*. When $d(\cdot, t)$ flips from $\equiv 0$ to positive on a measure of types, M_S overshoots its long-run path because u_S drains into the unskilled segment at rate f_U , faster than demographic replacement could remove the same mass. The half-life of M_S adjustment becomes shorter than in the previous draft on the crisis-affected region, but recovers to $\ln 2/\nu$ once the cross-market channel closes.

Demand shock vs. supply/reallocation shock.

- A **demand shock** (e.g. the financial crisis) primarily reduces P_U and γ_{P_S} . If P_U falls proportionally more than the effective skilled productivity, the relative return to training rises, $\bar{x}$ falls, and $\underline{x}$ falls (or remains zero) — training share rises in the post-shock equilibrium.
- A **supply / reallocation shock** (e.g. COVID-19) may primarily depress γ_{P_S} (or shift a_Γ, b_Γ in the skilled offer distribution) without a proportional fall in P_U . In this case the cross-market option becomes valuable for low- x trained workers, $\underline{x}$ rises sharply, and the training share can *fall* in the post-shock equilibrium as the prior trained cohort exits the skilled segment via the cross-market drain. The DC channel is what allows the model to reproduce this empirically observed pattern.

The multi-regime estimation identifies exactly which parameters change, and the transition-dynamics computation traces out the implied adjustment path — including the time profile of $\underline{x}(t)$ — allowing a structural decomposition of the crisis into its component channels.